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China factory automation

EQUITY: TECHNOLOGY

A 2-3 year transition before industrial AI scales up

OT vendors monetize AI by dragging in legacy DCS upgrades; Inovance uses equipment-fused alternative

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On 28 April 2026, we published *AI impact on factory automation* in which we argued that domestic OT (operational technology) incumbents would likely outrank IT platforms in AI landing, with industrial AI acting as a revenue amplifier in the near term rather than a standalone growth driver. In this note, we provide an update on industrial AI, the AOP/TPT/UCS rollout, and a recent industry survey that reiterates the view that: monetisation remains anchored to the legacy DCS installed base, with the AI-led inflection still gated by a 2-3 year transition-pain period.

Defining industrial AI and the domestic OT vendors' positioning map

Based on our recent industry survey, China's process-industry AI stack is built on four software pillars — TPT (Time-series Pre-trained Transformer), UCS (Universal Control System), AOP (Autonomous Operating Plant) and OMC (Operation Management & Control System) — layered on open-source foundation models. TPT is purpose-built for industrial time-series data, while UCS rebrands legacy DCS (Distributed Control System) by integrating telco/cloud compute, cutting cabinet space ~90% and cabling >80%. In our view, domestic vendors compete less on model capability than on vertical depth. Inovance (300124 CH, Buy) anchors new energy; SUPCON Technology (688777 CH, Not rated) anchors petrochemicals and chemicals; and Hollysys (unlisted) anchors rail transit and power. We believe each has entrenched its position through accumulated process know-how, not horizontal scale. Inovance's path is notably physical-fusion — servo motors, drives and special-purpose PLCs (programmable logic controllers) bound to equipment, rather than software. In our view, this hardware DNA places Inovance in a different AI tier from software-led process incumbents.

AI deployment: Inovance's physical fusion vs SUPCON's software bundle

Based on our recent industry survey, AI is landing not as a standalone product but bundled onto the installed base. SUPCON Technology's flagship AOP, paired with TPT and subscription MaaS/RaaS (Models-as-a-Service/Results-as-a-Service), is sold into its petrochemical clients. It disclosed CNY184mn of industrial-AI revenue (12% of total revenue) in 1Q26; according to the industry survey, ≥20% is bundled DCS (distributed control system) hardware. Inovance's AI deployment in practice differs: it is physical-fusion, embedding AI and compute into servo drives, motors and special-purpose PLCs (programmable logic controllers) at new-energy and battery plants, rather than selling process software. In addition, Inovance pairs integrated controller-servo solutions with AI plus real-time force control, feeding humanoid-robot supply chains. In our view, Inovance monetises AI through hardware pull-in, not subscription software.

The transition pains gating China's automation-AI revenue inflection

Based on our recent industry survey, China's automation market remains anchored to DCS, with AI being a revenue amplifier rather than an independent driver. For example, SUPCON's 2026E revenue recovery is likely to be supported by delayed revenue recognition, not AI, based on the industry survey. We see a 2–3 year transition-pain period, as the binding constraints are structural: MaaS/RaaS subscriptions face domestic-substitution and security resistance from SOE clients, costing some legacy orders. In addition, cross-vendor incompatibility is acute. For example, a Siemens (SIE GR, Not rated) PCS7 biopharma project stalled for over half a year because its Profinet protocol did not bridge to SUPCON's Modbus, with full replacement the only fix. We believe industrial-AI software margins (≥20%) far exceed sub-10% DCS margins, supporting mix-led expansion once volumes scale. In our view, subscription stickiness, not one-off projects, is the durable inflection.

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See Appendix A-1 for analyst certification, important disclosures and the status of non-US analysts.

Appendix A-1

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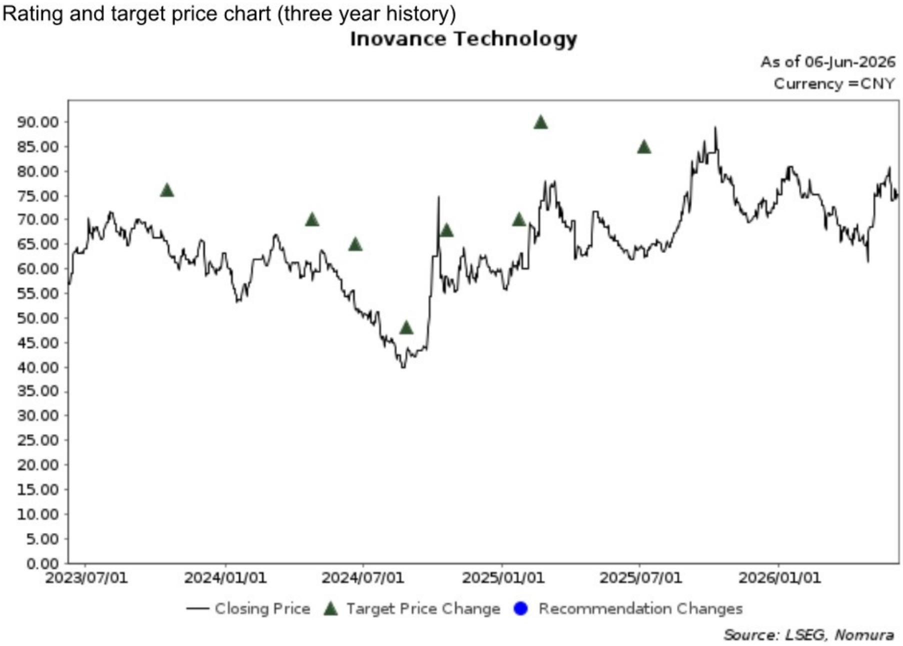
Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Inovance Technology	300124 CH	CNY 75.08	05-Jun-2026	Buy	N/A	

Inovance Technology (300124 CH) **CNY 75.08 (05-Jun-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
06-Jul-25		85.00	64.11
21-Feb-25		90.00	73.92
22-Jan-25		70.00	60.71
20-Oct-24		68.00	58.50
27-Aug-24		48.00	41.70
20-Jun-24		65.00	51.69
24-Apr-24		70.00	59.18
17-Oct-23		76.00	65.13

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our TP of CNY85 is based on 39x 2026F EPS of CNY, at +0.8x SD of its historical average P/E at 33x. The benchmark index is CSI300.
Risks that may impede the achievement of the target price Downside risks include: 1) lower-than-expected factory automation demands in China; 2) Inovance's market share loss to domestic or foreign competitors; and 3) worse-than-expected gross margin decline in EV business owing to intensifying market competition and rising raw materials costs.

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